

Because so much rides on a credit agency's evaluation of your history, it's essential to check your credit report and know your credit scores (each agency uses a somewhat different calculation) before applying for a major loan.

Q: How do I get a copy of my credit report?

A: There are three major credit agencies that maintain these records: Equifax, Experian, and TransUnion. You're entitled to one free credit report within a 12-month period from *each* bureau. You're also entitled to an additional free report from each agency if you're unemployed. You can access your free reports by filling out the request form at the agencies' joint website (www.annualcreditreport.com), or by calling 877-322-8228. If you want more than one report from an agency in a given year, you can purchase it from the credit bureaus separately: Equifax (www.equifax.com; 800-685-1111), Experian (www.experian.com; 888-397-3742), and TransUnion (www.transunion.com; 800-888-4213). They charge about \$10 per report. (Don't pay attention to the various credit monitoring services and other credit-related products listed on the sites; they're expensive and usually not necessary.)

Q: What kind of information is in my credit report?

A: Your report lists the basics, such as your age, birth date, Social Security number, current and previous addresses, current and previous jobs, and spouse's name if you're married. The credit information describes all the credit relationships you have, such as bank credit cards, store credit cards, and student loans. Included is the date you opened each account, how much you owe, the maximum amount you can borrow, and your payment history. It will also indicate whether you've ever had any major financial problems, like defaulting on a loan or declaring bankruptcy.

Q: How is my credit score calculated?

A: The most commonly used scoring model is called FICO, named for the developer, Fair Isaac Corp. There are five main factors that determine your overall FICO score. Most important is your payment history, which